

DIGITAL TRANSFORMATION

Alpha Manufacturing Group ERP Transformation Program

Strategic Recommendations for the Executive Team

Daniel Nti · Digital Transformation Advisory · July 2026

The Situation & Board Mandate

~\$100M

Annual Revenue

~200

Employees

5

Operating Locations (US & Canada)

⚠ Key Pain Points

- › **80%** of custom orders experienced margin erosion last year
- › No reliable contribution margin visibility — losing money blind
- › Fragile overnight BOM sync between Engineering & Mfg fails often
- › Manufacturing delays from stale parts lists on the floor
- › 20+ year old ERP with unintegrated CRM, HRIS, and heavy Excel reliance

Board Mandate: Replace legacy ERP · Rationalize systems & improve data governance · Ensure uninterrupted operations · **Target: 12 months**

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Key Objectives — What Success Looks Like

Each objective ties directly to a real AMG problem — not generic ERP goals:

1. Stop losing money blind

Real-time visibility into whether a job in progress is on track to make or lose money — not finding out months later when the P&L comes in.

2. Kill the BOM sync failure

Engineering and the factory floor see the same parts list, always — not a list that might be a day stale because the overnight sync broke.

3. Don't break the business

Zero missed customer shipments, zero failed month-end closes, throughout the entire 12-month project. The business keeps running.

4. Stop the Excel band-aid habit

People build shadow spreadsheets because the systems don't give them what they need. Fix the systems; eliminate the workarounds.

1 Phasing Philosophy — The Plumbing Rule

 You don't rip out half the plumbing and leave the other half — that's how you flood the house.

The Plumbing (Must move together)

- › **Engineering** — BOM/ECN design data
- › **Manufacturing/MRP** — Production planning
- › **Procurement** — Material purchasing

These are *connected* and currently broken. Splitting them across old/new systems recreates the same integration nightmare.

The Guest Bedroom (Phased later)

- › CRM integration (already unintegrated)
- › HRIS/Payroll integration
- › Advanced predictive analytics
- › Lower-volume satellite site rollouts

Legitimate needs — just not *stopping-the-business* needs. Phase to second wave after core is stable.

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12-Month Timeline & "Switching Banks" Cutover

Phase	Timeline	Key Focus
Discovery & Design	Months 1–3	Process mapping · ERP selection · Scope Control Gate formed · Data cleansing begins
Build & Configure	Months 4–8	Core Finance + Mfg/MRP + Procurement as one suite · BOM integration · Margin dashboards · Mock migrations
Test & Rehearse	Months 9–10	Short parallel run · Dry-run month-end close · UAT all 5 sites · Validate with real production data
Go-Live & Stabilize	Months 11–12	Core cutover · Legacy read-only · 30-day hypercare · Satellite site prep



The Switching Banks Rule

When you open a new bank account, you keep the old one open for a month — verify paychecks and bills land correctly before closing it. Same logic here: a **short parallel run** (2–4 weeks, not months — avoid double-entry fatigue) lets us cross-check the new system's numbers against the old one before committing. Pure big-bang is too risky for a company that already doesn't trust its numbers.

1 Top 5 Risks — Each With a Mitigation

#	Risk (AMG-specific)	Mitigation
1	BOM data doesn't migrate cleanly — engineering DB already fragile	Clean before you move. Audit the engineering database in Phase 1. Fix errors before data touches new system. Don't migrate first and clean later.
2	Custom-order complexity underestimated — ETO variation exceeds standard ERP capability	Test with real messy orders. Pick AMG's most complex past orders and run them through new system before go-live. Prove it works on real complexity.
3	Scope creep — "just one more customization" slowly kills the timeline	Scope Control Gate — small approval group. Default answer: "not now." Only "business breaks without it" gets approved.
4	Month-end close breaks — Finance must close every month regardless	Never cutover near close week. Build calendar around Finance. Dry-run close in Month 10. Legacy close as fallback for one cycle.
5	Multi-entity consolidation tangles — 5 sites on different timelines	Temporary manual reconciliation. Simple checklist consolidates numbers across old+new systems during mixed period. Keeps leadership from flying blind.

Key Principle

Every risk has a **concrete, pre-defined mitigation** — not just awareness. The parallel run (Phase 3) is the single most powerful risk reduction tool: it lets us validate the new system against the old one before committing.

1 Scope Control — The Gate That Keeps the Timeline Alive

Scope creep — not technical difficulty — is what kills ERP project timelines in the real world. This needs its own explicit mechanism, not just a mention inside a risk section.

How It Works

- › **Who:** Small gate-keeping group — VP Ops, CFO, Program Lead. Not a big committee. Small groups make faster, firmer calls.
- › **The rule:** Default answer to any scope request is "**Not now.**"
- › **The test:** Only requests where the business *cannot operate* without the feature get Day-1 approval.
- › Everything else logged for Phase 2 backlog.

What This Protects

- › The **12-month timeline** — every "small customization" quietly pushes go-live
- › **Budget discipline** — customization costs multiply fast
- › **Decision integrity** — forces honest prioritization, not "let's just squeeze this in"

Connection to Prompt 2: The gate only works if there's a clear Day-1 must-have list to measure against. Prompt 2 defines exactly that line — what's essential vs. what waits.

2 Scope & Sequencing — Day-1 Must-Haves

Test: "Can AMG *run its business* without this on Day 1?" If no → it's included.

✓ Day-1 Must-Haves

- › **Connected Engineering → Mfg → Procurement** — BOM/ECN integration; the core reason for this project
- › **Core Finance** — GL, AP, AR, monthly close capability
- › **Basic cost/margin visibility** — Per-order contribution tracking (addresses 80% margin erosion)
- › **Inventory accuracy** — Live, correct stock data for manufacturing

⌚ Deliberately Deferred

- › CRM integration (already unintegrated; no regression)
- › HRIS/Payroll integration (siloed but functioning)
- › Advanced analytics / predictive reporting
- › Lower-volume satellite site rollouts (Phase 2 wave)

📦 Migration Exclusions

- › Old closed-out orders → **archive** (not live migrate)
- › Dead vendor/customer records → **clean out**
- › Rule: migrate active, archive occasional, drop untouched
- › Validate migrated data side-by-side before go-live

🔧 Customization Discipline

- › Default: **adopt standard ERP workflows**
- › Customize only if business *cannot operate* without it
- › "The old system did it this way" = invalid reason
- › Every exception through Scope Control Gate

3 Data & Reporting Continuity

Historical Data Migration

- › **Active** (open orders, current BOMs, active customers) → full migration
- › **Archive** (closed >3 years, inactive) → searchable read-only
- › Side-by-side validation on sample set before go-live
- › Legacy read-only for 6 months post-go-live, then decommission

Reporting During Transition

- › Single reporting source of truth (even if manually stitched during transition)
- › **No reporting blackout** — leadership always sees their numbers
- › Parallel run enables cross-validation of KPIs
- › **Key KPIs:** Contribution margin, on-time delivery, inventory turnover, BOM accuracy

Month-End Close — The Sharpest Risk

- ›  **Never** schedule cutover during close week — hard rule
- ›  Full dry-run close rehearsal in Month 10 before system is official
- ›  Legacy close process kept as **fallback** for one full cycle post-go-live
- ›  If new system's close hits a snag, Finance still has a path to close on time
- ›  First official close on new ERP is **the second time** Finance does it — not the first
- ›  This protects both the business and the program's credibility

Success Measures & Live Review Prep

The program's success is measured directly against the Board's three mandate items:

Board Mandate	Success Criterion	Target
1. Modern cloud ERP	Legacy decommissioned; core business on new system	>90% transactions on new ERP by Month 12
2. Data governance & rationalization	Single source of truth; integrated systems	BOM sync failures <1%; no manual re-entry
3. Margin transparency	Real-time per-order margin visibility	80%+ orders tracked; automated variance reports

Live Review Preparation

The solution defense will assess **structure, prioritization, judgment, and presentation**. Be prepared to explain *why* each decision was made — not just *what* was decided. The most challenging questions will test trade-off reasoning: "Why this scope and not that?" "What would cause you to delay?" "How do you enforce customization discipline?"

Go/No-Go Decision Points

Three hard gates before the program advances to its next phase. Each must be cleared before proceeding.

Month	Phase	Milestones
1–3	Discovery & Design	Process mapping completed · ERP vendor selected · Governance board formed · Data cleansing initiated
4–8	Build & Configure	Core Finance + Mfg/MRP configured · BOM integration built · Margin dashboards developed · Mock data migration #1
9–10	Test & Rehearse	Full parallel run begins · Dry-run month-end close · UAT at all 5 locations · Mock migration #2 (final validation)
11	Go-Live	Core sites cut over · Legacy to read-only · Hypercare support active
12	Stabilize	First official close on new ERP · Satellite site prep begins · Lessons learned documented
13+	Phase 2	Satellite rollouts · CRM integration · Advanced reporting · Legacy decommissioned

⚠ The Three Gates

- › **Month 8 → 9:** Proceed to parallel run only if BOM integration passes validation with production data
- › **Month 10 → 11:** Proceed to go-live only if dry-run close succeeds and user training completion ≥85%
- › **Month 11:** Hold at core sites if satellite readiness is not confirmed — satellite go-live can be deferred



Thank You

Ready to defend this strategy in the Live Review.

Key Message: AMG's ERP transformation is achievable within 12 months through disciplined phasing, a rigorous scope control mechanism, and a data strategy that prioritizes continuity — grounded in practical decisions, not theory.

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